

That this work may be of exceeding value cannot be denied. In a number of cases it will lead to a convincing conclusion that the market price is far out of line with intrinsic or comparative worth and hence to profitable action based upon this sound foundation. But it is necessary to caution the analyst against overconfidence in the practical utility of his findings. It is always good to know the truth, but it may not always be wise to act upon it, particularly in Wall Street. And it must always be remembered that the truth that the analyst uncovers is first of all not the *whole* truth and, secondly, not the *immutable* truth. The result of his study is only a *more nearly correct version of the past*. His information may have lost its relevance by the time he acquires it, or in any event by the time the market place is finally ready to respond to it.

With full allowance for these pitfalls, it goes without saying, none the less, that security analysis must devote thoroughgoing study to corporate income accounts. It will aid our exposition if we classify this study under three headings, *viz.*:

1. The accounting aspect. Leading question: What are the true earnings for the period studied?
2. The business aspect. Leading question: What indications does the earnings record carry as to the *future* earning power of the company?
3. The aspect of investment finance. Leading question: What elements in the earnings exhibit must be taken into account, and what standards followed, in endeavoring to arrive at a reasonable *valuation* of the shares?

CRITICISM AND RESTATEMENT OF THE INCOME ACCOUNT

If an income statement is to be informing in any true sense, it must at least present a fair and undistorted picture of the year's operating results. Direct misstatement of the figures in the case of publicly owned companies is a rare occurrence. The Ivar Kreuger frauds, revealed in 1932, partook of this character, but these were quite unique in the baldness as well as in the extent of the deception. The statements of most important companies are audited by independent public accountants, and their reports are reasonably dependable within the rather limited sphere of accounting accuracy.² But from the standpoint of common-stock analysis these

² In recent years several instances of gross overstatements of earnings and current assets in audited statements have come to light—notably the case of McKesson and Robbins